

PRIMING THE BALLOT BOX

UPA has pumped moolah into its political constituencies through budgets

FARMERS

Plan allocation up 300 per cent between 2003-04 and 2008-09.

Credit disbursement increased from Rs 87,000 crore to Rs 2,50,000 crore.

Rs 65,318.33 crore spent on waiving loans of 36.8-million farmers.

MSP for paddy per quintal hiked to Rs 900 from Rs 550 and for wheat to Rs 1,080 from Rs 630 in four years.

VOTEBANK: 120 million families

RURAL INDIA

Rural housing and water supply: Rs 85,000 crore in 2005-09 period.

104.31 lakh houses constructed under Indira Awaas Yojana.

Rs 48,000 crore allocated for rural roads under PMGSY and Bharat Nirman.

36 million families benefit as Rs 63,840 crore pumped into NREGS between 2006 and 2009. Allocation for 2009-10: Rs 30,100 crore.

VOTEBANK: 150 million families

URBAN INDIA

Till December 2008, Rs 39,000 crore sanctioned for 386 projects and Rs 11,842 crore allocated for 2009-10.

VOTEBANK: 60 million families

GOVERNMENT EMPLOYEES

Sixth Pay Commission recommendations implemented at the Centre and in states will cost 1.5 per cent of the GDP.

VOTEBANK: 18 million families

because of the 9-plus per cent GDP growth three years in a row. The funding of "inclusive ideas" is through taxes that high growth delivered. And growth is a function of investment, employment and consumption. The Labour Ministry estimates that five million jobs have been lost. Almost every sector is impacted by demand recession and the cry for sops is deafening. Loss of jobs and de-

mand slowdown has resulted in shelving of investments.

Given the magnitude of the meltdown and the fiscal deficit, the continuation of Robin Hood politics is under threat. Ergo both real politics and sound economics urge for intervention. Yes, the UPA unveiled two packages in December and January worth over 1 per cent of GDP. But that is clearly not enough. Nor is it enough to state the FRBM has been put on a pause. Since May 2004, the UPA has

been haunted by the ghost of India Shining. In this, democracy of the poor growth has been misconstrued as anti-poor. Instead of taking shelter under the leaf of propriety, the UPA should have—as the lame duck regime did in the United States—built a political consensus and a stimulus package. That would have ensured that the economic cycle is not hit by the political cycle. National interest need not always be subordinate to political interests. ■